STANDARD OPERATING PROCEDURES

CORPORATE EQUIVALENCY

Decentralized Governance. Corporate Discipline.

SOP REGISTRY AND CORPORATE EQUIVALENCY

SOLOMON DAO LLC

DRAFT

Document ID:	SOP-00001
Version:	1.0.1
Status:	DRAFT
Effective Date:	5 March 2026

TABLE OF CONTENTS

SOP-00001: SOP Registry and Corporate Equivalency 2

Intellectual Property Firewall 2

1. Purpose 3

1.1 Establishment 3

1.2 Registry scope 3

2. Authority, hierarchy, and scope limits 3

2.1 Definitions 3

2.2 Document hierarchy 4

2.3 Scope limits 4

3. The SOP Registry as compliance manual 5

3.1 Binding effect 5

3.2 Non-compliance and contractual incorporation limits 5

3.3 Licensee perimeter and no-agency clarification 6

4. Corporate equivalency mapping 7

5. Registry mechanics 8

5.1 Canonical locations 8

5.2 Numbering and naming 8

5.3 Required header fields 8

6. Security-sensitivity, confidentiality, and hash-first publication 10

6.1 Security-Sensitive Information 10

6.2 Allowed publication patterns 10

6.3 No accountability gap 10

7. Operational Packs 10

8. SOP incorporation standard for Licenses and counterparties 11

9. Amendment 11

SOP-00001: SOP Registry and Corporate Equivalency

Status: Draft (intended for ratification via next Operational Pack)

Version: 1.0.0

Owner: SOLOMON DAO LLC (via Governance System)

Applies to: Head Steward, Subcommittee Members, and persons exercising authority under the Company Agreement.

Effective date: Upon ratification (or earlier as an Interim SOP adopted by the Head Steward or by Subcommittees acting within their existing authority, per Founding Charter §8.2)

Operational Pack: None

Confidentiality classification: Public

Supersedes: None

Related: SOP-00000 (Order of Business for Operational Packs)

Intellectual Property Firewall

"Protocol" in this SOP has the same meaning as **"Protocol IP"** as defined in the Company Agreement of SOLOMON DAO LLC (Operating Agreement §2.1(17)) — design, documentation, code, repositories, and other intellectual property. It does not mean an operating business, service, issuer, custodian, counterparty, or other person or entity.

This SOP is an internal governance and recordkeeping instrument only. It does not describe, certify, or govern any Licensee's independent operations or any Implementation / production system.

Nothing in this SOP authorizes the Company, the Head Steward, or any Subcommittee to direct, supervise, or control the operations of any Licensee, counterparty, service provider, or other person. Any external obligations arise only under the applicable License or other written agreement, and only to the extent expressly stated there.

1. Purpose

1.1 Establishment

This SOP establishes the SOP Registry as the DAO's internal governance and compliance manual: the canonical location where Company-side operational and security procedures are recorded, versioned, and (when appropriate) ratified as Tertiary Instruments of the Company Agreement.

The intent is to make explicit that the DAO operates a conventional corporate governance playbook — with on-chain execution and cryptographic recordkeeping as the implementation layer.

This is not bureaucracy for its own sake. The objective is a professionally run DAO with repeatable controls that reduce ambiguity, increase signal quality, and set a standard others can look to and reuse.

1.2 Registry scope

The SOP Registry is the canonical publication venue for:

1. **Living instruments (current ratified copies).** The current operative versions of ratified governance instruments (including registries and any operative superseding texts), organized so a reader can find the current state without searching across superseded proposals.
2. **Interim SOPs.** Draft or interim Tertiary Instruments published for immediate operational use within existing authority and queued for ratification (or rejection) via the next Operational Pack.
3. **Confidential or redacted instruments by integrity record.** Entries that publish hash/CID and metadata (with optional redactions) when full text cannot be disclosed. Reasons include but are not limited to operational security, proprietary methods, trade secrets, and counterparty agreements or licenses where disclosure would increase exploit risk or compromise commercial confidentiality.

2. Authority, hierarchy, and scope limits

2.1 Definitions

Terms defined in the Operating Agreement have the same meaning in this SOP unless otherwise specified.

- **SOP / Standard Operating Procedure.** A documented operational or security procedure governing routine activities, controls, or response processes (Operating Agreement §2.1(23)).
- **Operational Pack.** A periodic governance proposal that ratifies a batch of Tertiary Instruments, including their hashes or content identifiers and effective date (Operating Agreement §2.1(24)).

- **Living instrument (current copy).** A convenience publication of the current operative text of a ratified governance instrument as of the latest effective change. A living instrument does not override the adopting Resolution or the underlying Primary or Secondary Instrument.
- **Registry entry.** A record in the SOP Registry for an instrument, which may be full text, redacted, or hash-only. At minimum it includes identifier, title, status, scope, effective date, and (where applicable)
  hash/CID.
- **Hash-only entry.** A registry entry that publishes only metadata and hash/CID for a confidential instrument, with ratification referencing the hash/CID.

2.2 Document hierarchy

The Company Agreement comprises:

- **Primary Instruments:** the Operating Agreement, the Founding Charter, and the IP License Framework.
- **Secondary Instruments:** the Smart Contract Registry, Website Registry, Intellectual Property Registry, IP License & Assignment Register, and the Counterparty Agreements Register.
- **Tertiary Instruments:** the SOP: Order of Business for Operational Packs, and this SOP Registry (including its contents).
- **Proposal Memoranda:** governance proposal documents maintained in the proposal repository, for transparency and best practice only.

In the event of conflict, the order of precedence established in Operating Agreement §2.2(1) applies:

1. mandatory law;

2. Primary Instruments (in order: Operating Agreement, Founding Charter, IP License Framework);

3. Secondary Instruments;

4. Tertiary Instruments; and 5. Proposal Memoranda.

2.3 Scope limits

SOPs are Tertiary Instruments. A Tertiary Instrument may not:

1. expand authority beyond what Primary and Secondary Instruments and on-chain constraints permit;

2. expand economic powers or custody rights;

3. modify Primary or Secondary Instruments;

4. create obligations for Members beyond existing obligations;

5. grant new rights to access or move Company Treasury Accounts; or 6. override or recharacterize the instrument hierarchy.

(Founding Charter §8.2, §8.4; Operating Agreement §6.5(4); SOP-00000 Section 3.)

3. The SOP Registry as compliance manual

3.1 Binding effect

- **Interim SOPs** may be adopted or amended by the Head Steward or by Subcommittees acting within their existing authority (Founding Charter §8.2; Operating Agreement §6.5(4)). Pending ratification, interim SOPs are guidance only and do not expand the authority of any person or Subcommittee (Operating Agreement §6.5(4)). Interim SOPs set operational expectations for the Head Steward, Subcommittee Members, and persons exercising authority under the Company Agreement, within the scope of existing authority granted by the Primary Instruments.
- **Ratified SOPs** (via an Operational Pack adopted by Resolution) are binding Tertiary Instruments for all persons exercising authority within scope, subject to the hierarchy in Section 2.2 above.

3.2 Non-compliance and contractual incorporation limits

Operating outside applicable ratified SOPs (within scope) may constitute:

- grounds for the Head Steward or a Subcommittee to invoke existing

remedies under the Company Agreement, including reporting to Members, recommending corrective Resolution, or exercising emergency action under Operating Agreement §10.4(2) where applicable;

- with respect to a Licensee, where (and only where) a specific requirement,

control, specification, or integrity condition published in the SOP Registry is expressly incorporated into that Licensee's License or other written agreement, grounds for action under the IP License Framework (including revocation, narrowing, suspension, or reassignment under §3.5)

or the applicable agreement, to the extent provided there; and

- for counterparties, grounds for action under the applicable counterparty

agreement as recorded in the Counterparty Agreements Register.

This SOP does not create new enforcement mechanics. It operationalizes existing remedies in the Primary Instruments and applicable agreements.

This SOP does not create duties for Members and does not create duties to supervise, direct, or control any Licensee's or counterparty's operations. It is an internal control system for persons exercising authority under the Company Agreement and a publication and integrity framework for instruments that may be referenced by separate agreements.

Nothing in this SOP creates or implies any partnership, joint venture employment, fiduciary, or agency relationship between the Company and any Licensee, counterparty, or other person.

3.3 Licensee perimeter and no-agency clarification

For avoidance of doubt, the SOP Registry is a governance and record-keeping instrument within the Company Agreement hierarchy. It does not by itself impose obligations on any Licensee, counterparty, or third party unless a separate written agreement expressly incorporates a specific SOP provision.

Where a License incorporates a specific SOP provision, that incorporation operates only as a condition on permission to use Protocol IP (including attribution, integrity, security, scope, or compliance-related boundaries tied to the License). It does not constitute Company direction, approval, supervision, or control of the Licensee's business or any Implementation.

No inference of Company direction, control, approval, supervision, agency, partnership, fiduciary status, or intermediary role may be drawn from:

1. the existence of this SOP Registry;
2. the existence or content of any SOP;
3. the incorporation of any SOP provision into a License;
4. similarities or differences between SOP-incorporation terms across Licenses; or 5. the Company's exercise of revocation, narrowing, suspension, or reassignment rights under the IP License Framework.

Nothing in this SOP creates any duty for the Company, the Head Steward, or any Subcommittee to monitor, police, investigate, supervise, or control any Licensee or any Implementation.

4. Corporate equivalency mapping

DAO tooling is unfamiliar; the governance substance is conventional. We adopt conventional governance discipline so the Company is legible, auditable, and can lead by example.

Traditional corporate artefact	DAO / Company Agreement equivalent
Bylaws / Constitution	Operating Agreement, Founding Charter, IP License Framework (Primary Instruments).
Board minutes / Resolutions	Proposals, vote outcomes, Resolution text, Execution Bundle review, execution evidence, governance log and metadata.
Officer appointments	Head Steward appointment; Subcommittee establishment by Resolution with defined scope (Founding Charter Article IV); multisig controls.
Compliance manual (internal controls)	SOP Registry (this) for Company-side governance controls, SOPs, runbooks, key registries, and security policies as Tertiary Instruments; not an operations manual for Licensees or counterparties except where a specific standard is expressly incorporated by reference into a separate agreement.
Annual governance review / AGM	Periodic Operational Pack proposals: batch ratification of Tertiary Instruments, change log, hashes/CIDs, effective dates, review windows.
Registrar filings	Certificate of Formation, Beneficial Owner Information Reports (Form 2), annual filings (Form 4), filed by the Head Steward as Representative Agent.
Third-party audits	Security audits and independent review processes commissioned by Resolution or by Subcommittees within mandate; compensating transparency when details cannot be safely published (Founding Charter Article V).
Public filings / official venues	Proposal repository, SOP Registry, public chain records, official governance venues designated in the Website Registry.
Board oversight / committees	Subcommittees with explicit scope limits (Founding Charter Article IV); Audit Subcommittee (Founding Charter §4.5); on-chain constraints and post-execution reporting.
Standard of care	Good faith within scope of authority; commercially reasonable efforts; covenant of good faith and fair dealing (Operating Agreement §4.3); safe harbour for good faith actions (Founding Charter §6.4).

Traditional corporate artefact	DAO / Company Agreement equivalent
Limited liability structure	DAO LLC as the liability wrapper (Operating Agreement §4.2); natural person protections (Founding Charter Article X); separate legal counterparties under the Counterparty Agreements Register.
IP licensing program	IP License Framework (Primary Instrument); Licenses recorded in the IP License & Assignment Register; Licensee independence and IP firewall.

5. Registry mechanics

5.1 Canonical locations

The proposal repository is the canonical historical record for proposal history, drafts, discussion context, and execution artefacts.

The SOP Registry repository is the canonical source for the current ratified versions of living instruments and Tertiary Instruments.

The current canonical locations are recorded in SOP-00000 Section 9 and may be updated by Resolution.

5.2 Numbering and naming

- **SOP-00000:** Order of Business for Operational Packs.
- **SOP-00001:** This document (Registry and Corporate Equivalency).
- **SOP-00002 onward:** Subsequent SOPs numbered sequentially.

File naming: `SOP-#####_<kebab-name>.md`

IDs are never reused. If an SOP is superseded, it retains its ID and the superseding SOP references it.

5.3 Required header fields

Each SOP must include:

- **Status:** Draft, Interim, or Ratified.
- **Version.**
- **Effective date** (or "upon ratification").
- **Applies to** (which persons exercising authority it binds).

- **Confidentiality classification:** Public, Redacted + Hash, or Confidential + Hash.
- **Supersedes** (if any).
- **Hash/CID** (if referenced in an Operational Pack).
- **External applicability (if any):** Internal-only, or "Contractual incorporation only" (with agreement/register reference).
- **Relationship boundary statement:** (required if external applicability is not Internal-only) A statement that the SOP sets Company-side governance controls and/or Protocol IP standards only, and does not direct, supervise, or control external operations or create agency.

6. Security-sensitivity, confidentiality, and hash-first publication

6.1 Security-Sensitive Information

Security-Sensitive Information is defined in Operating Agreement §2.1(25)

and includes private keys, signing infrastructure, incident-response runbooks, security controls, vulnerability details pending remediation, and sensitive arrangements where disclosure would increase exploit risk.

Confidential Information is defined in Operating Agreement §2.1(27).

6.2 Allowed publication patterns

For any SOP or registry entry, choose one:

1. **Public full text.** 2. **Redacted public text + published hash/CID.** 3. **Confidential instrument + published hash/CID**, with ratification by hash/CID.

In all cases, the SOP Registry must contain a public registry entry sufficient for integrity verification (identifier, title, status, scope, effective date, and hash/CID), even when full text is withheld.

6.3 No accountability gap

Limiting disclosure is permitted for security and confidentiality, but is not a shield against accountability:

- Use compensating transparency (on-chain constraints, audits, post-execution reporting).
- If a concern remains, governance can appoint a confidential review committee or engage an independent reviewer under appropriate controls, with a scoped public assurance statement (Founding Charter §5.2 through §5.4).

7. Operational Packs

All SOP changes are batched into periodic Operational Packs (SOP-00000 Section 4) which include:

- scope statement;
- change log;
- document hashes/CIDs;
- effective date; and
- review date.

Format note (non-substantive). SOP-00000 controls the normative content and adoption mechanics for

Operational Packs. Future SOPs may designate a standard presentation template (headings, annex layout, metadata fields, rendering pack references) for Operational Packs to improve consistency and tooling. Any such template SOP is administrative only and does not modify authority limits, adoption requirements, or instrument hierarchy.

Ratification occurs when the Operational Pack is adopted by valid Resolution (and any required Execution Bundle is executed). Until ratification, interim SOPs are guidance only and do not expand the authority of any person or Subcommittee (Operating Agreement §6.5(4)).

8. SOP incorporation standard for Licenses and counterparties

Any SOP provision intended to apply to a Licensee or counterparty must be expressly incorporated by reference in the applicable License or agreement.

Incorporation by reference must identify the SOP and, where practical, the specific section(s) incorporated.

No SOP may be used to prescribe or manage a Licensee's independent business operations except to the limited extent a License conditions permission to use Protocol IP on compliance with specified Protocol IP-related terms.

SOPs shall not be drafted or interpreted as employment manuals, operating directives, or management instructions for Licensees.

Blanket incorporation of the entire SOP Registry into a License is disfavored and should be avoided unless expressly approved by Resolution with a stated reason and scope limitation.

9. Amendment

This SOP is a Tertiary Instrument. It may be amended on an interim basis by the Head Steward or by Subcommittees acting within their existing authority (Founding Charter §8.2), in accordance with Operating Agreement §6.5(4). Such amendments must be recorded in the SOP Registry and are subject to objection by Resolution.

No amendment is effective until any required Execution Bundle is executed and the amended instrument is recorded in the SOP Registry in accordance with the Founding Charter.